DHL WEBINAR:
PROTECTING YOUR GOODS DURING INTERNATIONAL SHIPPING

STRATEGIES FOR MITIGATING YOUR RISKS

12th October 2022

WELCOME AND INTRODUCTION

Introducing our experts...

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Agenda

Welcome and Introduction

Part 1

- What can go wrong in international trade?
- The Logistics Industry and limited liability

Part 2

- Solutions to protect cargo and balance sheet
- Cargo Insurance

Useful Resources

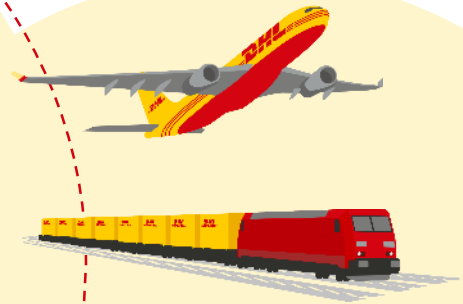
Q&A

Welcome and Introduction

For 2019, it is estimated that **insured** cargo losses reached nearly **USD13bn**

As insurance of goods is not mandatory, the true value of global cargo losses will be far greater

In today's webinar we will consider the multitude of perils that a cargo might be exposed to during international trade and look at the possible solutions that can address these very real risks to your assets and your balance sheet



MOL Comfort video

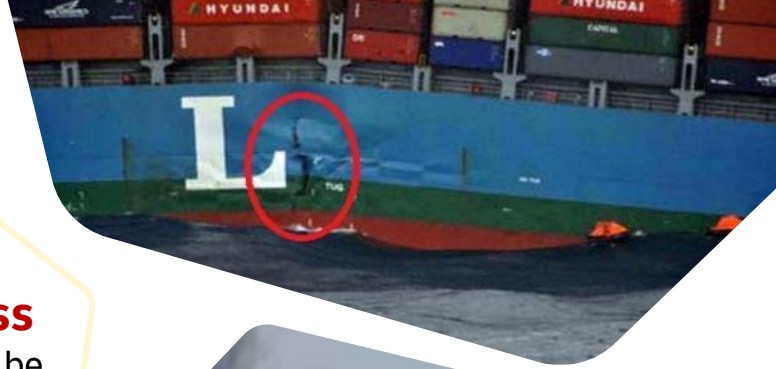
Click here to watch: https://www.youtube.com/watch?v=EjnjYH7D7i4

MOL Comfort

8,110 TEU container vessel, built 2008

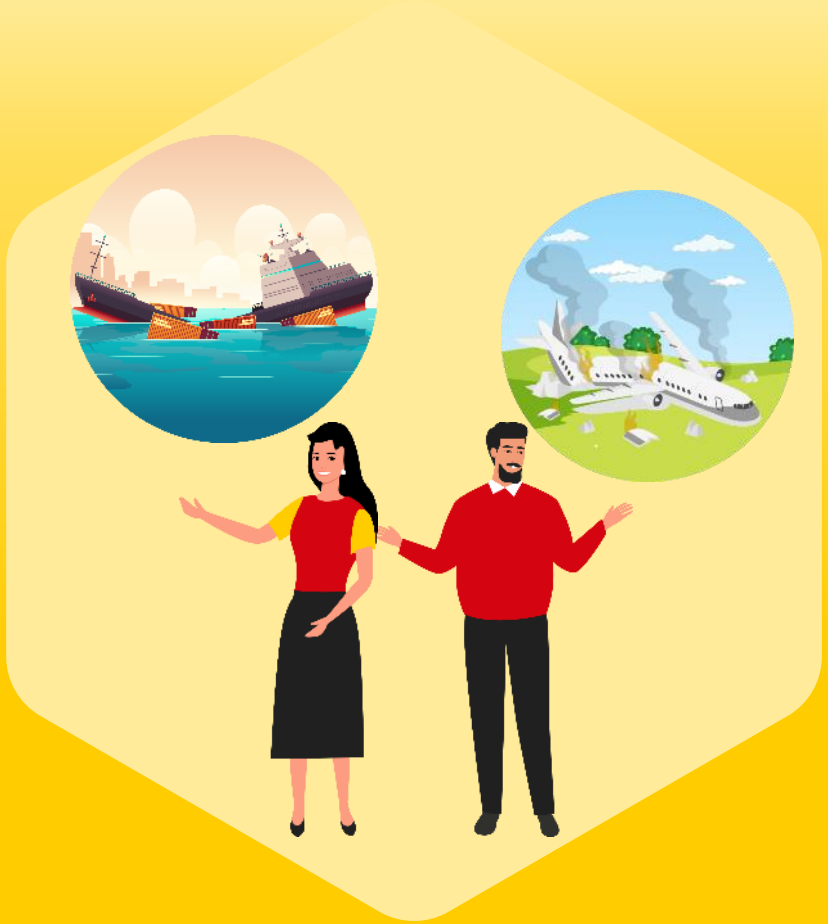
Due to a crack in the hull, MOL Comfort broke in half in the Arabian Sea, both sections sinking with the loss of all **4,382 containers**

Cargo loss estimated to be **USD400m**



PART 1

- WHAT CAN GO WRONG IN INTERNATIONAL TRADE?
- THE LOGISTICS INDUSTRY AND LIMITED LIABILITY

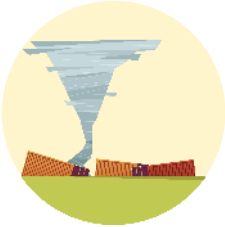


What Can Go Wrong in International Trade? (1/2)

Acts of God

Earthquake

Hurricane/ Windstorm



Flood

Fire following lightning

Total Loss

Ocean

- e.g. MOL Comfort case

Road

- Road accidents account for significant levels of freight loss each year
- Cargo theft is a growing threat, occurring at truck stops, roadside parking, and even from truck yards

Air

- e.g.Lufthansa cargo flight 8640 touched down too hard in Riyadh, Saudi Arabia
- Aircraft broke up on the runway, with a fire destroying the midsection of the airplane

Rail

- Rail disasters are relatively infrequent, but with the length of modern freight trains, their impact can be very serious

What Can Go Wrong in International Trade? (2/2)

Theft and Damage

Theft of whole truck

- Via hijack or while parked

Pilferage

- During transit or incidental storage

Damage

- Environmental exposures
- Contact with other cargo during transit
- Shock to packaging
- Compression
- Truck collision

Human Error

1. Unsuitable or inadequate packaging
2. Handling errors
3. Poor driving
4. Inadequate temperature maintenance
5. Poor stowage

The Logistics Industry and Limited Liability

The logistics industry is a limited liability industry

Payments are calculated against the weight of goods and are often only a **fraction of their true value**

'Acts of God' are never compensated

We pay compensation for lost or damaged goods according to **international conventions, STC's or local law**

We pay for loss or damage when we're found **liable**

The Logistics Industry and Limited Liability – A case study

Case Study
MOL Comfort

- A shipper with 3 containers on the MOL Comfort, each carrying **$400,000** of cargo and weighing 20 tons
- All 3 containers are a total loss ($1.2m total)
- The carrier is deemed negligent, but how much compensation might the shipper receive?

How much compensation might the Shipper receive?	Limited Liability
Basis for calculation*	**2 SDR / kg** Hague-Visby convention
Compensation	**$120,000**
Freight costs reimbursed?	✗

* Freight liability is calculated in SDR. Approximate value for 1 SDR = $1.00

PART 2

- SOLUTIONS TO PROTECT CARGO AND BALANCE SHEET
- CARGO INSURANCE

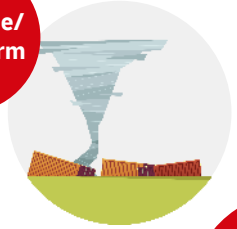
Solutions to Protect Cargo and Balance Sheet (1/2)

Acts of God & Total Loss

Problem

Earthquake

Hurricane/ Windstorm



Total loss of vessel, aircraft, truck or train

Flood

Fire following lightning

Solution

Route selection

Reputable forwarder with long term carrier relationships

Storm tracking

High quality warehouses during incidental storage, including fire prevention and adequate security

Weather route planning

Well considered stowage & packaging

Solutions to Protect Cargo and Balance Sheet (2/2)

Theft and Damage & Human Error

Problem

- Theft of whole truck

- Pilferage

- Damage
- Handling errors
- Poor driving
- Poor stowage
- Inadequate temperature maintenance
- Unsuitable or inadequate packaging

Solution

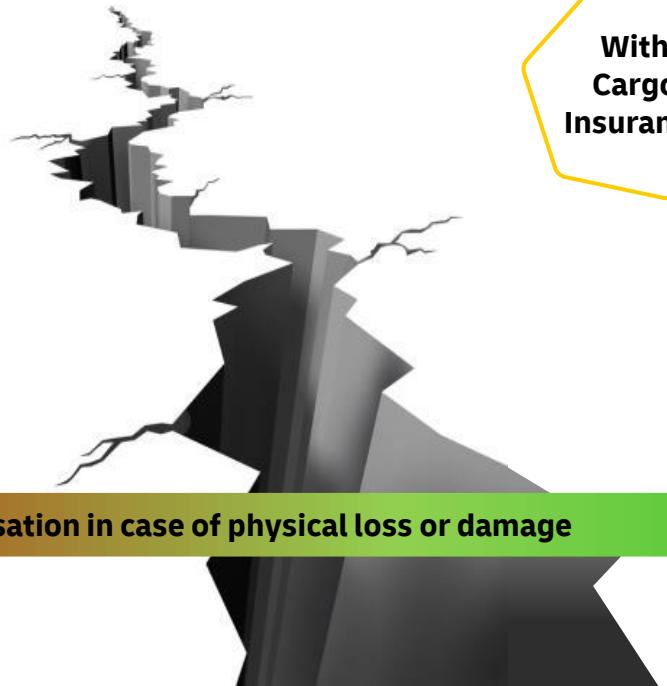
- **Security assessment, considering:** GPS, escort vehicle, 2 drivers, panic button, etc.
- Plain packaging, palletised & shrink-wrapped
- Packaging that is able to withstand all hazards and environmental exposures during the transit
- Vehicle and forklift driver training
- Clear and unambiguous instructions to carriers
- Warehouse and carrier personnel training
- Reputable forwarder with long term carrier relationships

THE LOGISTICS INDUSTRY IS A LIMITED LIABILITY INDUSTRY.....

This Creates a “GAP” between your potential compensation and the full value of the goods

Without Cargo Insurance

- Compensation according to international conventions
- Calculated against the weight of goods, often a fraction of their value



With Cargo Insurance

- Cargo Insurance pays the full value of the Goods

0% **Compensation in case of physical loss or damage** **100%**

Case Study – MOL Comfort

MOL Comfort

- A shipper with 3 containers on the MOL Comfort, each carrying **$400,000** of cargo and weighing 20 tons
- All 3 containers are a total loss ($1.2m total)
- The carrier is deemed negligent, but how much compensation might the shipper receive?

How much compensation might the Shipper receive?	Limited Liability	Cargo Insurance
Basis for calculation*	**2 SDR / kg** Hague-Visby convention	**Full shipment value (CIF)**
Compensation	**$120,000**	**$1,200,000** *(plus freight costs)*
Freight costs reimbursed?	✗	✓

* Freight liability is calculated in SDR. Approximate value for SDR 1 = $1.00

What is Cargo Insurance?

Cargo insurance protects the owner of goods from financial loss if their goods are lost or damaged whilst being transported over any distance and by any means

The Basics of Cargo Insurance (1/4)

Cargo Insurance is not complicated, especially if you stick to these fundamentals:

Who?

The shipper is the "Assured" - This is just insurance-speak for the person or business who buys the policy and has the right to do so as the owner of the goods. This is always the shipper, never the forwarder/carrier

How?

The method of shipment used: **Air, Ocean, Road or Rail, or any combination**

What?

The goods be carried. They must be lawful but otherwise almost anything can be insured

Where?

From anywhere to anywhere, with the exception of a few countries where local legal restrictions are in place

Value?

How the goods are valued will determine the charges paid and must be the **actual value of the goods at the time they are shipped.** This is, generally, the cost of manufacture or suppliers invoice cost, plus freight, plus duty, plus (generally) 10%.

The Basics of Cargo Insurance (2/4)

What's covered?

- Whilst a Cargo Insurance policy may appear long and complicated, virtually all the coverage for most shippers is contained within the **INSTITUTE CARGO CLAUSES (A)**
- Cargo insurance essentially covers **'All risks' of loss of or damage to the goods**

From this all-inclusive statement, certain risks which are deemed uninsurable are then removed from the coverage. The important ones are:

- Ordinary wear and tear of the goods
- Poor or unsuitable packing or stowage of the goods **by the shipper**
- Loss or damage caused by delay in the delivery of a shipment
- Any loss or damage that arises as a direct result of the nature of the goods being transported, known as inherent vice
- Mechanical, electrical or electronic breakdown of the goods
- Consequential losses or any indirect losses. Cargo insurance is a policy covering the direct loss or damage to goods

The Basics of Cargo Insurance (3/4)

LENGTH OF COVERAGE

Cargo Insurance can protect the goods **all the way from start of loading at one warehouse, factory, etc. all the way through to completion of unloading** at another warehouse or factory, **no matter how far apart they are:**

Protection remains in force throughout the **"ordinary course of transit"**. This means that if the shipper intentionally stops the shipment partway through, the coverage also stops

The Basics of Cargo Insurance (4/4)

Cargo Insurance is an “All Risks” coverage, so the vast majority of claims will be paid

But, if not, it’s likely that one of the following has happened:

- There was no ‘fortuity’ (no accident)
- The claimant had no Insurable Interest at the time of the loss
- A policy exclusion applied
- The goods were under-insured
- The customer didn’t pay his premium!

USEFUL RESOURCES

Useful Resources

International Shipping Conventions

Mode of Carriage	Conventions	Limits of Liability
Sea	Hague Visby	2 SDR per kilo of gross weight of goods lost or damaged or 666.67 SDR (Special Drawing Rights) per package or unit or whichever is the higher
Sea (USA)	US COGSA	USD 500 per package or shipping unit
Air	Montreal	22 SDR per kilo
Air	Warsaw	22 SDR per Kilo
Road (Europe)	House Airway Bill incorporating CMR	8.33 SDR per kilo
Road	Local Transport Conditions	Dependant on country

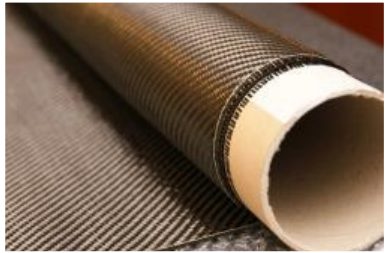
Claim Examples – Damage due to temperature deviation

The Facts

Type of Loss	Damage due to temperature deviation
Description of Loss	Damage to product caused by incorrect setting of container temperature
Description of Goods	"Glass Fibre Prepreg" rolls 247 boxes in 27 pallets, in 2 reefer containers
Conveyance	Container vessel "OOCL Chongqing"
Voyage	Bremen, Germany to Al Ain, UAE
Shipment Value	USD775,172
Claim Value	USD775,172

Description of Loss

- This glass fibre prepreg is used in the manufacture of aircraft structures and as such is subject to very strict carriage conditions
- Shipper requirement was for reefer container temperature to be set at **-25°C** as a precautionary measure as actual product requirement is for -18oC. 6 temperature recorders were placed inside the containers
- Instruction provided to the shipping company by the forwarder was for temperature to be set at **+25°C** on both the containers
- As per the temperature records downloaded by the consignee, it was noted that the temperature was maintained throughout the transport above +25oC and hence the shop life of the product was expired
- No visible damage or deterioration was noted to the product but the extended period outside specified temperature range caused the product to have no commercial value as it could not be used for the intended purpose
- Product was destroyed with no possibility of recovery action against the carrier



[Not actual loss photos]

Claim Examples – Damage during unloading

The Facts	
Type of Loss	Damage during unloading
Description of Loss	Helicopter tail pylon damaged during unloading
Description of Goods	Kaman Super Seasprite SH-2G Helicopter shrink wrapped
Conveyance	RO/RO vessel "Falstaff"
Voyage	Auckland, New Zealand to Callao, Peru
Shipment Value	EUR3,188,860
Claim Value	USD718,036

Description of Loss

- On 8th January 2016, using a towing bar connected to the rear wheel, the helicopter was towed off the ship by an oversized truck (for towing large trailers), which belonged to APM, the port operator.
- As soon as the truck was off the ramp of the vessel, it immediately turned 90 degrees to the right and then suddenly stopped.
- At 90 degrees the pylon of the helicopter was so close to the rear of the truck that it immediately collided

Claim Examples – Damage due to poor packing / handling

The Facts	
Type of Loss	Damage due to poor packing / handling
Description of Loss	Damage caused by poor / insufficient packing, stowage instructions, stowage and handling
Description of Goods	Monoblock computers 157 cartons & 91 cartons, on airfreight pallets
Conveyance	Turkish Airlines
Voyage	Hong Kong to Astana, Kazakhstan, via Istanbul, Turkey
Shipment Value	USD3,845,488
Claim Value	USD821,818

The Shipment

- Consignments of 248 high-performance, custom-made, monoblock computers intended for Bitcoin mining operations, each with 12 high-value, high-performance graphic boards & each valued at USD15,500
- Packing units included no handling instructions. Each packing unit held one computer whose housing had been covered with a blue protective film. The computer was placed in an unclosed bag, then fitted with polystyrene moulds on both short sides
- Shipper was based in an office building with no packing or warehouse facilities
- **Consignment 1 – 157 Cartons:** 4 ULD's shipped to transit airport in Istanbul
- **Consignment 2 – 91 Cartons:** 3 ULD's shipped to transit airport in Istanbul
- On arrival of both flights, new ULD's were formed & all 248 cartons, valued USD3,845,488 were shipped on a single flight to Almaty

Description of Loss

- Goods mostly found in original packing & palletised in a KZ warehouse. Surveyor noted that warehouse was not suitable for storage of such goods
- Cardboard packing torn, deformed, compressed & some traces of dried moisture
- Photos of pallet stowage in HK highlighted cartons stowed on pallets without prior unitisation. Mix of vertical & horizontal stowage & over-stacking was extensive. Some cardboard packing already compressed & deformed at this time
- Damage on 53 units included deformed housing, cracks, impact marks & shifting of internal components (graphic boards, motherboards etc.)
- Computers with visible damage were immediately declared as non-usable & as total losses by the consignee, referencing sensitivity of the units & that components corresponded precisely to one another

Q&A

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